

changing patterns and global scale of the operations. According to RBI's annual report, over the past three years, the number of fake Rs 100 notes seized has declined by more than 60 per cent from 1.6 lakh to 68,000 pieces and that of Rs 500 has increased by 75 per cent. The seizures of fake Rs 1,000 notes have gone up by 300 per cent. The IB report analysing FICN trends states: "This indicates a dangerous shift towards counterfeiting of higher denominations despite the fact that they have more security features, which can only be the handiwork of organised syndicates. Further, the seizures are getting bigger, to the tune of Rs 40-50 lakh and above."

Military intelligence reports flowing out of Jammu and Kashmir too reveal a changing pattern. "Earlier, fake currency was handed out to allow terrorists to sustain themselves when they entered the Valley. However, in the past two years, it has taken on a larger strategic objective of hurting India's economy," says a senior army official. In Punjab, the seizures of counterfeit Indian currency have almost doubled in the last two years from 44 in 2006 to 86 in 2008, while the quantum of dirty money rose from Rs 99 lakh to Rs 1.20 crore in the same period. It's the same story for Uttar Pradesh and Pune where fake currency cases doubled in 2008 compared to 2007.

What makes matters alarming is the connivance of bank staff in diluting genuine currency with fake. The chief cashier of an SBI branch in Domariaganj has been implicated in the Rs 4-crore fake currency racket. Such instances further erode faith in the banking system. Close on the heels of the Domariaganj case, RBI ordered all public sector banks to

look out for FICN in their vaults, which resulted in the discovery of fake currency worth Rs 1.5 lakh in the vaults of the Oriental Bank of Commerce in Ghaziabad. Explains Param Bir Singh, additional commissioner of Maharashtra's Anti-Terror Squad: "In absolute numbers, the counterfeiting of the rupee is in the range of 8-10 pieces per 1,000 in circulation. In any economy, if counterfeiting goes beyond 10 pieces per 1,000, it is

have been spiralling over the last few years. According to a 2007 IB report, these seizures are only the tip of the iceberg and don't present the real picture. In fact, one of the recent intercepts have given the intelligence units enough evidence that a cache of fake banknotes worth Rs 200 crore is parked in UAE, which will be pumped into India by poor labourers who act as couriers. Says Jagir Singh, deputy inspector general, BSF

FAKE CURRENCY SEIZED FROM TWO BANGLADESHI NATIONALS IN AURANGABAD EARLIER THIS YEAR

As anti-national activities increase, the infusion of fake notes will only increase. We have strengthened our resolve to detect them.

B.S. YEDDYURAPPA
CHIEF MINISTER,
KARNATAKA



Besides sharing borders with Nepal, we are not far off from Bangladesh either. Both the borders are prime sources of fake currency.



SUSHIL MODI
DEPUTY CM
& FINANCE
MINISTER,
BIHAR



alarming but in India since banks are not reporting such cases and destroying or returning fakes, there is no way to tell the exact number of fakes that are in circulation."

That it is substantial is not in question. From Punjab to Kerala, fake currency cases

(Punjab Frontier): "The sheer high volume of the counterfeit Indian currency in the cache is a pointer to a new sinister hatched trend. There is a running pipeline of fake currency from Pakistan." The involvement of Dawood Ibrahim's smuggling network and his con-

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